

UMC (2303 TT)

Meaningful Re-Rating Path into 2H26–2028

Maintained **Buy**
Target price NT\$215

Raise TP to NT\$215: UMC's share price underperformed Taiex in July/Aug but rebounded on rising expectations of price hikes and optical opportunities (*our report: PIC/TFLN Upside Unlocks a Higher-Margin Cycle on Aug 24*). We continue to expect UMC to be re-rated, supported by profitability optimization through 2H26–2027 (higher UTR, price hikes, improving mix, etc), followed by a shift to a new growth phase from 2028 driven by FinFET 12nm and an “optical full-solution model”. Reflecting stronger pricing and margins, we lift 2026E/2027E EPS by +2%/+8% and raise our target multiple to 25x 2027E EPS on a stronger margin/growth outlook, resulting in a new TP of NT\$215. Our model indicates UMC should maintain solid FCF and dividend yields.

Earnings optimization in 2H26–2027 amid transfer-order gains: We see UMC is in a phase of profitability optimization supported by rising UTR, pricing, and improving mix. We expect UTR for: **1) 12” to reach ~93% by end-2026** on strong DDIC volumes from Novatek and Samsung LSI at 22/28nm and Apple's Mac at 55/65nm, with upside from Sony's sensors (>10KPM at 22/28nm); **2) 8” to ~90% by end-2026 and full loading by 2H27** on intact demand (datacenter PMIC, MCU, embedded memory, etc), Samsung LSI's scale-down in 8” driving PMIC order transfer (~70KPM in 2027, ~110KPM in 2028), and additional transfer from Novatek (HV) and MTK (BCD), with upside from Qualcomm PMIC in 2027. Meanwhile, pricing momentum extends from 2H26 (selective customers) into 1H27 (10–30% across 12” and 8”) and 2H27 (ongoing negotiations), suggesting visibility extending into 2H27.

Transformation from 2028 to “asset-light FinFET” and “optical full solution”: We expect UMC's next growth phase, likely beginning 2028, to be driven by: **1) Intel 12nm** as a major inflection—an asset-light FinFET model with revenue contribution from 2028, plus upside from further 12nm expansion tied to Apple's DDIC migration amid “Made in U.S.”; **2) SiPh/TFLN** scaling toward 2.4T/3.2T, with TFLN as the largest long-term opportunity. We estimate EPS contribution of NT\$0.7/NT\$1.6 in 2027E/2028E, supported by higher ASPs of ~\$4.5k and wafer volumes of 20KPM/40KPM by end-2027/2028; **3) interposer and advanced packaging** beginning to contribute from 2H27 (interposer), supported by emerging vectors such as silicon capacitor/DTC, hybrid bonding, and controller-to-bonding integration, positioning UMC to evolve beyond PIC foundry toward a broader optical integration model.

Risks: 1) Geo-political risk; 2) Demand uncertainties; 3) Competition; 4) New product delay.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	232,303	237,553	287,185	367,320	457,280
Revenue YoY (%)	4.4	2.3	20.9	27.9	24.5
Net profit (m)	47,211	41,716	94,576	107,405	147,608
Net profit YoY (%)	-22.6	-11.6	126.7	13.6	37.4
EPS (NT\$)	3.8	3.3	7.6	8.6	11.8
P/E	42.5	48.3	21.3	18.8	13.7
ROE (%)	12.5	11.0	21.7	22.9	24.5

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Jeff Pu, CFA

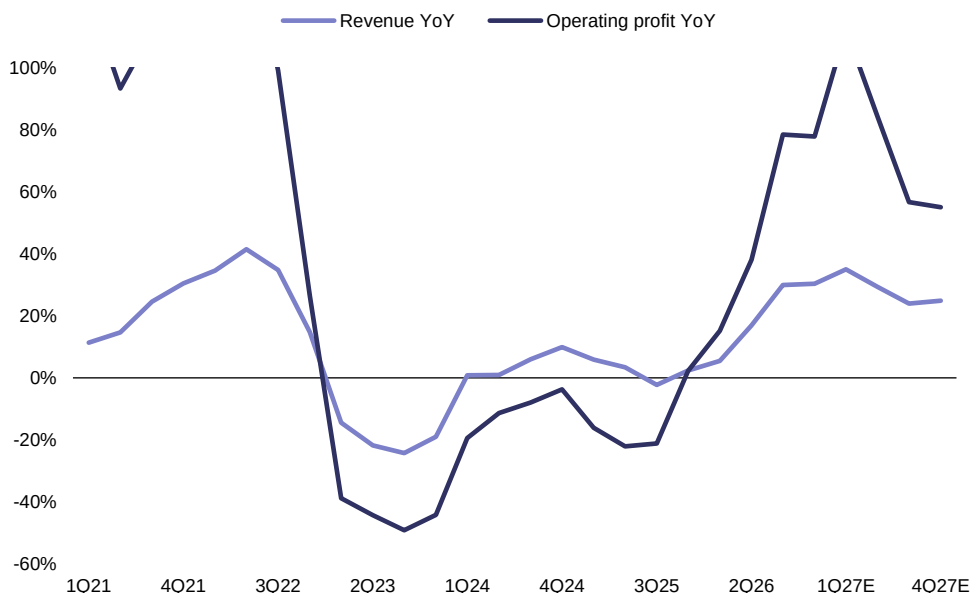
SFC CE No. BNO719
jeffpu@gfgroup.com.hk

Henry Huang

SFC CE No. BYA749
henryhuang@gfgroup.com.hk

Earnings Forecast

Figure 1: UMC's revenue YoY and operating profit YoY (%)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings Revision

Incorporating higher pricing and margins, we raise 2026E/2027E EPS estimates by +2%/+8%. Our earnings model doesn't factor in the potential Intel 12nm/14nm collaboration as we wait for details of revenue sharing model.

Figure 2: Earnings revision

NTD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	237,553	290,217	287,185	353,625	367,320	-1%	4%
Gross profit	68,906	98,533	97,464	141,264	150,109	-1%	6%
EBIT	43,949	69,014	67,845	108,706	116,390	-2%	7%
Pre-tax Income	49,648	101,828	104,020	116,265	125,722	2%	8%
Net profit	41,716	92,701	94,576	99,138	107,405	2%	8%
EPS (NT\$)	3.34	7.43	7.58	7.94	8.60	2%	8%
Key ratios (%)							
Gross margin	29.0%	34.0%	33.9%	39.9%	40.9%		
Operating margin	18.5%	23.8%	23.6%	30.7%	31.7%		
Pre-tax margin	20.9%	35.1%	36.2%	32.9%	34.2%		
Net profit margin	17.6%	31.9%	32.9%	28.0%	29.2%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: UMC's P&L forecast

(NTD m)	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	237,553	61,038	68,733	76,829	80,585	287,185	82,449	88,945	95,241	100,685	367,320
COGS	168,647	43,219	46,410	49,231	50,860	189,721	50,571	53,173	55,472	57,996	217,211
Gross profit	68,907	17,818	22,323	27,598	29,725	97,464	31,878	35,772	39,770	42,690	150,109
Opex	24,959	6,542	7,373	7,737	7,967	29,619	7,917	8,217	8,637	8,947	33,719
Operating profit	43,948	11,276	14,950	19,861	21,757	67,845	23,961	27,554	31,132	33,742	116,390
Non-op profit	5,699	5,367	30,236	1,682	2,254	36,176	2,333	2,333	2,333	2,333	9,332
Pre-tax profit	49,647	16,643	45,186	18,179	24,012	104,020	26,294	29,887	33,465	36,075	125,722
Income tax	8,113	527	2,962	2,636	3,482	9,607	3,944	4,782	4,685	5,051	18,462
Minority interest	182	54	36	36	36	163	36	36	36	36	145
Net Income	41,717	16,171	42,260	15,579	20,566	94,576	22,386	25,141	28,816	31,061	107,405
EPS (NT\$)	3.34	1.29	3.39	1.25	1.65	7.58	1.79	2.02	2.31	2.49	8.61
Outstanding shares	12,485	12,491	12,475	12,475	12,475	12,475	12,475	12,475	12,475	12,475	12,475
Margin analysis											
Gross margin	29.0%	29.2%	32.5%	35.9%	36.9%	33.9%	38.7%	40.2%	41.8%	42.4%	40.9%
Operating margin	18.5%	18.5%	21.8%	25.9%	27.0%	23.6%	29.1%	31.0%	32.7%	33.5%	31.7%
Pre-tax margin	20.9%	27.3%	65.7%	23.7%	29.8%	36.2%	31.9%	33.6%	35.1%	35.8%	34.2%
Effective tax rate	16.3%	3.2%	6.6%	14.5%	14.5%	9.2%	15.0%	16.0%	14.0%	14.0%	14.7%
Growth (YoY%)											
Sales	2%	5%	17%	30%	30%	21%	35%	29%	24%	25%	28%
Operating profit	-15%	15%	38%	79%	78%	54%	112%	84%	57%	55%	72%
Net income	-12%	108%	375%	4%	105%	127%	38%	-41%	85%	51%	14%
EPS	-12%	108%	375%	4%	105%	127%	39%	-41%	85%	51%	14%
Product mix (%)											
Wafer	98%	95%	97%	97%	97%	97%	97%	97%	97%	96%	97%
Others	2%	5%	3%	3%	3%	3%	3%	3%	3%	4%	3%

Sources: Company data, GF Securities (Hong Kong) Brokerage

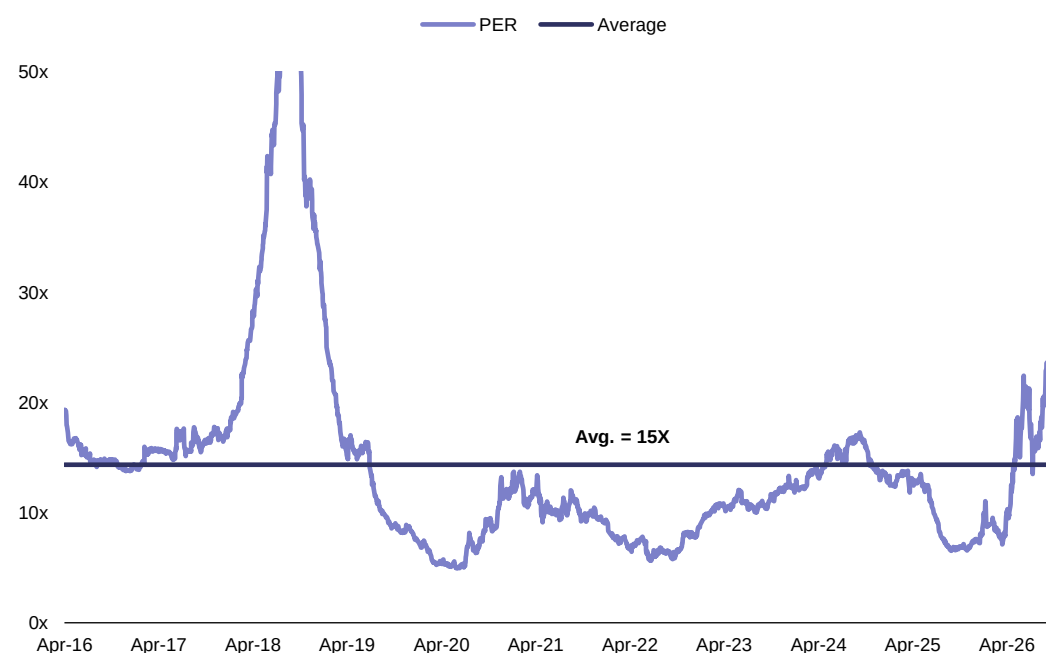
Valuation and Recommendation

Buy with TP of NT\$215

We rate UMC (2303 TT, UMC US) Buy and set our TP at NT\$215, which is based on 25x our 2027E EPS estimate from previous 20x due to enhanced margin and growth outlook. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and its earnings volatility has reduced since 2021 due to a much more diversified application mix and specialty position. We adopt the 2027 P/E valuation is due to the improving pricing environment in the longer term. Overall, we believe the mature node industry outlook has become more favorable, and UMC's mgmt. also guided a favorable pricing environment in 2026/2027.

UMC P/E traded at an average of 15x since 2021, when the market accepted the P/E valuation. Our target price is higher than the mid-cycle level, as we believe the rerating catalysts are emerging amid favorable industry supply/demand. Meanwhile, the company continued to gain AI related business (i.e., networking, power, silicon photonics, advanced packaging). We expect its ROE to reach mid-20s in 2026E-2028E, vs. 11-12% in 2024-2025.

Figure 4: UMC's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) Geo-political risk; 2) Demand uncertainties; 3) Competition; 4) New product delay.

Balance Sheet						NTD mn
	2024	2025	2026E	2027E	2028E	
Current assets	189,678	204,783	245,002	266,055	370,034	
Cash and cash equivalents	115,239	128,365	155,744	157,509	237,793	
Inventory	35,782	37,228	41,880	47,949	56,802	
Accounts Receivable	33,343	31,274	37,808	48,358	60,202	
Other current assets	5,313	7,915	9,569	12,239	15,237	
Non-current assets	380,523	374,213	379,614	409,232	431,063	
Long-term equity investment	72,487	75,373	80,373	85,373	90,373	
Fixed assets	279,059	271,395	271,797	296,414	313,246	
Other long-term assets	28,976	27,445	27,445	27,445	27,445	
Total assets	570,201	578,996	624,616	675,287	801,097	
Current liabilities	75,260	87,598	91,085	109,148	119,335	
Accounts Payable	7,633	9,170	10,316	11,810	13,991	
Short-term borrowings	19,510	27,597	19,318	18,738	7,495	
Other current liabilities	48,117	50,831	61,452	78,599	97,849	
Non-current liabilities	116,755	111,542	97,931	96,978	78,493	
Long-term Debt	55,533	45,372	31,760	30,808	12,323	
Other non-current liabilities	61,222	66,170	66,170	66,170	66,170	
Total liabilities	192,016	199,141	189,016	206,126	197,828	
Total Equity	378,185	379,855	435,600	469,161	603,269	
Share Capital	125,607	125,882	125,882	125,882	125,882	
Additional Paid-in Capital	25,473	21,004	15,004	6,004	-7,496	
Retained earnings	226,849	232,883	294,628	337,189	484,796	
Preferred Stocks	257	87	87	87	87	
Total Liabilities & Equity	570,201	578,996	624,616	675,287	801,097	

Income Statement						NTD mn
	2024	2025	2026E	2027E	2028E	
Revenue	232,303	237,553	287,185	367,320	457,280	
Cost of sales	156,649	168,647	189,721	217,211	257,318	
Gross profit	75,654	68,906	97,464	150,109	199,962	
Operating Expense	24,042	24,958	29,619	33,719	37,659	
Operating profit	51,613	43,949	67,845	116,390	162,303	
Interest Income	3,670	2,279	1,272	2,132	3,353	
Interest Expense	1,679	1,602	28,403	7,200	7,200	
Net other Non-op. Income/(Loss)	2,616	5,022	6,500	-	-	
Pre-tax profit	56,220	49,647	104,020	125,722	172,856	
Income tax	9,113	8,113	9,607	18,462	25,393	
Profit for the year	47,002	41,354	94,413	107,260	147,463	
Minority interest	105	182	163	145	145	
Net profit to ord. equity	47,211	41,717	94,576	107,405	147,608	
EPS (NT\$)	3.8	3.3	7.6	8.6	11.8	

Cash Flow Statement						NTD mn
	2024	2025	2026E	2027E	2028E	
Operating cash flow	79,970	103,286	156,701	177,540	223,912	
Profit for the year	47,211	41,716	94,576	107,405	147,608	
Depreciation & amortization	48,168	59,259	63,199	70,783	78,569	
Change in working capital	-16,251	2,272	-1,074	-647	-2,264	
Others	843	39	-	-	-	
Investing cash flow	-87,144	-52,988	-63,600	-95,400	-95,400	
Capex	-85,408	-48,764	-63,600	-95,400	-95,400	
Change in investment	924	-2,924	-	-	-	
Others	-2,660	-1,300	-	-	-	
Free cash flow	-5,438	54,523	93,101	82,140	128,512	
Financing cash flow	6,135	2,874	-21,891	-1,532	-29,728	
Change in Capital	-	-	-	-	-	
Net Change in Debt	271	-2,075	-21,891	-1,532	-29,728	
Others	5,864	4,948	-	-	-	
Exchange influence	3,715	-1,846	-	-	-	
Net increase in cash	-1,038	53,172	71,210	80,608	98,785	

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth (%)					
Revenue growth	4.4	2.3	20.9	27.9	24.5
Operating profit growth	-10.8	-14.8	54.4	71.6	39.4
Net profit growth	-7.8	5.2	149.4	32.9	60.9
Profitability (%)					
Gross profit margin	32.6	29.0	33.9	40.9	43.7
Operating Profit Margin	22.2	18.5	23.6	31.7	35.5
Net profit margin	20.3	17.6	32.9	29.2	32.3
Key Ratio (%)					
ROA	8.3	7.2	15.1	15.9	18.4
ROE	12.5	11.0	21.7	22.9	24.5
Stability					
Gross debt/equity	0.5	0.5	0.4	0.4	0.3
Interest Coverage	48	64	110	153	281
Current Ratio	2.5	2.3	2.7	2.4	3.1
Quick Ratio	2.0	1.9	2.2	2.0	2.6
Net debt/equity	Net Cash	Net Cash	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

Hong Kong	Company	GF Securities (Hong Kong) Brokerage Limited
	Address	27/F, GF Tower, 81 Lockhart Road, Wan Chai, Hong Kong
	Telephone	(852) 37191111
	Email	evanlee@gfgroup.com.hk

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